Type MS · Economies and diseconomies of scale

Answer 1 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $0.45 x 19 **(1)** Award 1 mark for calculating correct total variable costs = $8.55 **(1)** Award 2 marks if total variable costs are correctly calculated as $8.55, even if no calculations are shown Award 1 mark if total variable costs are calculated as 8.55, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 1 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the impact of external economies of scale on construction firms in India. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Construction firms in India, not just those along the new route between Hyderabad and Karnataka may benefit from infrastructure developments leading to external economies of scale • External economies of scale occur when (long run) average costs decrease as the whole industry grows • They can occur due to access to suppliers and skilled labour for many firms in the same industry • The modernisation of the infrastructure of the Indian rail network and the introduction of the new rail line will allow raw materials such as iron ore and steel to be transported more easily across the country • This will mean that construction firms in India may benefit from cheaper costs of transportation • As a result, their overall costs are likely to decrease at the same time as production can increase owing to the greater accessibility of raw materials and other goods

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 1 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which these government programmes may affect farming productivity in a country such as Egypt. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Productivity is the amount of output that can be produced with a given amount of resources • Government programmes affecting land as a resource include drainage, irrigation, use of fertiliser and reclamation • By increasing use of reclamation, it is possible to create new land where crops can grow, from previously infertile areas such as riverbeds and drained wetlands • As a result, farmers have access to more efficient land resources on which to grow crops such as wheat • Therefore, output can be increased, meaning that productivity for farmers in Egypt can be improved • This improvement in productivity may allow farmers to invest further in measures such as irrigation (redirecting water from natural sources to land in need of more water to be productive) • Therefore, becoming even more productive in the future **AO4** • However, in order for such programmes to work, farmers need access to areas such as former riverbeds as well as drainage equipment. This may be too expensive for many farmers • It may take time for reclamation and irrigation to be effective, making it more difficult for wheat farmers to afford the necessary equipment, even with the raised price for wheat paid by the Egyptian Government • Not all farmers are likely to be in favour of such programmes, especially if farming methods have been more traditional in their region • This may make them averse to guidance on the use of irrigation and some may take time to adjust to the methods available • As some fertilisers can harm wildlife, the environment and even people, it may not be straightforward to introduce such programmes and/or may require legal controls to be adhered to • Therefore, the effect of land resource programmes on productivity may be reduced

Type MS · Economies and diseconomies of scale

Answer 1 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Economies and diseconomies of scale

Answer 1 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

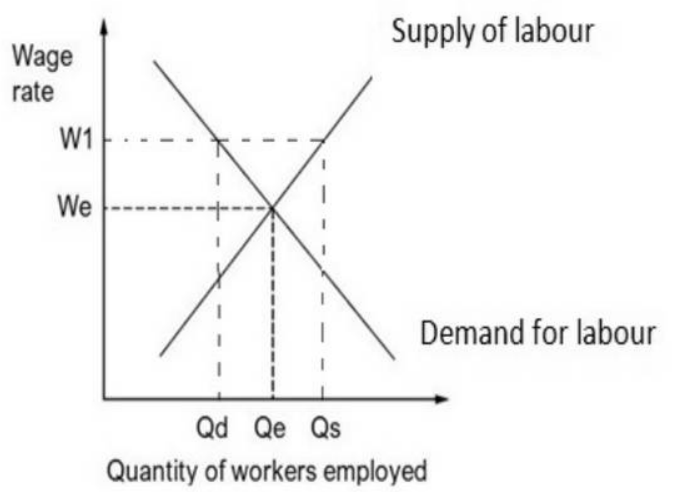
Type MS · Economies and diseconomies of scale

Answer 2 of 24 · Question 3 part b · 1 mark

2019 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **D** An inferior good	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **B** An increase in bureaucracy	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing equilibrium wage rate, labelled Award 1 mark for new quantity demanded, labelled Award 1 mark for new quantity supplied, labelled  	**(3)**

Type MS · Economies and diseconomies of scale

Answer 2 of 24 · Question 3 part b · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There may not be enough people in Canada undertaking the required training to gain the specialist skills and qualifications required • This may be because it takes too long or costs too much for the training • Canada is a very big country and so it may be difficult for the specialist workers to move from their geographic locations • There may have been a faster increase in demand for the specialist skills such as computer engineers and web designers, than the supply of them • Wages and rewards for the computer engineers/web designers may be higher in other countries, encouraging workers to leave Canada

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 2 of 24 · Question 3 part b · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Skills could be gained through education in schools and colleges leading to qualifications in technical areas relevant to business • Skills can also be gained through work place training by employers • Through education and training, workers will be more skilled and may therefore be more productive. This could lead to an increase in international competitiveness • Workers may be more motivated as a result of the training, leading to greater job satisfaction, lower labour turnover and improved productivity • Through improved human capital the quality of labour is greater and productivity can be increased. This could mean income per capita increases **AO4** • However, the cost to the firm of staff training/the Canadian Government of providing education may be too great compared to investing in technological advances • The firm may be reluctant to invest in human capital if it pays to train workers but they then leave for alternative employment. • Increasing technological developments may be more financially viable. • To be effective the quality of the training needs to be of a high enough standard to meet the requirements of the work place • It takes a long time for the benefits of education to lead to increased productivity. This could explain why Canada's labour productivity growth took time to become the 3rd most productive of the leading economies • It depends on the nature of the industry, some industries are better suited to having highly skilled workers e.g. service industries • Whereas some industries suit increased automation and use of technological advances rather than investing in human capital

Type MS · Economies and diseconomies of scale

Answer 2 of 24 · Question 3 part b · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 2 of 24 · Question 3 part b · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 3 of 24 · Question 4 part b · 6 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation €5.87 x 175 **(1)** Award 1 mark for calculating correct monthly gross income = €1 027.25 **(1)** Award 1 mark if monthly gross income is calculated as 1 027.25 with or without calculation Award 2 marks if monthly gross income is accurately calculated as €1 027.25, even if no calculations are shown	**(2)**

Type MS · Economies and diseconomies of scale

Answer 3 of 24 · Question 4 part b · 6 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs fall as a firm expands • Internal economies of scale can be purchasing, marketing, technical, financial, managerial or risk bearing • By joining the Sky Team, Vietnam Airlines is able to operate as if it is a larger airline as the 19 airlines can share some of the costs • Vietnam Airlines could share marketing costs, such as advertising with some of the other airlines in the Sky Team to reduce its average costs • Vietnam Airlines may be able to offer more routes or make improvements to planes through cooperation with other member airlines such as KLM or China Airlines, therefore benefitting from technical economies of scale • This may mean Vietnam Airlines can attract more passengers and so its average costs are reduced as each flight is more likely to be full • This means Vietnam Airlines may be able to expand and benefit further from other economies of scale

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 3 of 24 · Question 4 part b · 6 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and kneading the dough • This means the employees at the noodle-making factory can become more productive as they will be able to carry out each task quicker than if constantly changing between roles • The employees may also be more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Wong's factory to meet the demand of the 70% of noodle-based food stalls in Jenjarum, to whom it sells **AO4** • However, the noodle-making factory employees may find doing the same task, such as cutting noodles to various sizes, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore a delay in supplying the noodle stalls in Jenjarum could occur and could lead to a loss of business for the factory • Improving the quality of labour by training employees to use noodle-making equipment could increase productivity more, as could investing in more advanced noodle-making machinery • It depends whether the noodle-making tasks require much training as they maybe more suited to the division of labour process • Wong could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as more advanced machinery

Type MS · Economies and diseconomies of scale

Answer 3 of 24 · Question 4 part b · 6 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

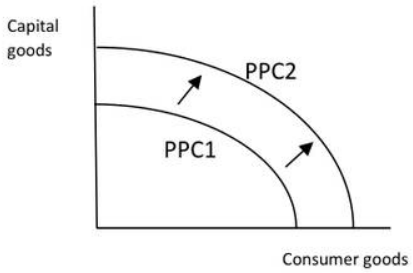
Type MS · Economies and diseconomies of scale

Answer 4 of 24 · Question 3 part a · 1 mark

2020 JAN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** **B** Skilled labour	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Large firms dominate the market	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for correctly labelling the axes Award 1 mark for drawing PPC1 closer to the axes than PPC2 Award 1 mark for drawing PPC2 showing positive economic growth from PPC1  	**(3)**

Type MS · Economies and diseconomies of scale

Answer 4 of 24 · Question 3 part a · 1 mark

2020 JAN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The demand for labour is likely to be affected by the wage rate, derived demand, productivity and the availability of substitutes • Machines provide a substitute for labour in many jobs and this factor is increasing • Google has developed an automated assistant meaning jobs currently performed by labour in call centres may also be replaced by machines • If machines can do the job more efficiently and/or cheaper then firms are likely to want to switch to machines, reducing the demand for labour • The more technology advances, the more substitutes there will be for labour and so the demand for labour is likely to continue to decrease

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 4 of 24 · Question 3 part a · 1 mark

2020 JAN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Externalities are the spillover effects of consumption or production • Negative externalities occur when a cost is imposed on a third party by those organising or paying to attend fireworks displays • Some former military personnel experience negative externalities because they suffer from being reminded about experiences as a result of the loud noises even though they are not choosing to be consumers of the fireworks • This means the fireworks are providing a negative externality/external cost to these former military personnel as well as to animals that are frightened by the 'bang', 'pop' and 'whizz' sounds • As firework displays may take place for many reasons, private and public events and to celebrate religious occasions, the negative externality may be experienced at many times of year **AO4** • However, people who see and hear fireworks without paying to attend a display or intentionally being a consumer, may be experiencing external benefits • Positive externalities occur when a benefit is enjoyed by a third party • People away from the fireworks display may enjoy watching the colourful sparks in the sky but not the 'bang', 'pop' and 'whizz' noises • It is possible that a third party may experience both positive and negative externalities at different times • It may depend how long the fireworks last, the time of day they are displayed or how close they are to the third party

Type MS · Economies and diseconomies of scale

Answer 4 of 24 · Question 3 part a · 1 mark

2020 JAN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

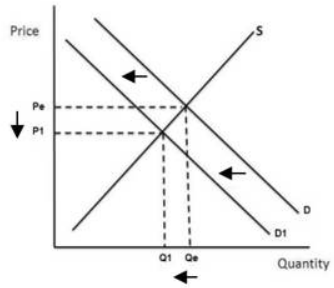
Type MS · Economies and diseconomies of scale

Answer 4 of 24 · Question 3 part a · 1 mark

2020 JAN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · Economies and diseconomies of scale

Answer 5 of 24 · Question 1 part h · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

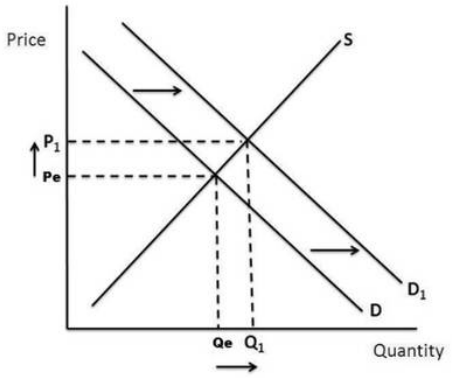
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 5 of 24 · Question 1 part h · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

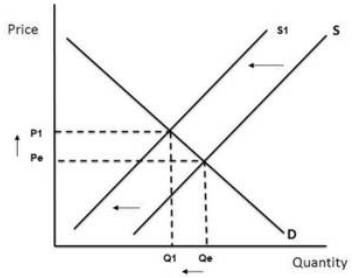
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	(3)

Type MS · Economies and diseconomies of scale

Answer 5 of 24 · Question 1 part h · 3 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · Economies and diseconomies of scale

Answer 5 of 24 · Question 1 part h · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** **D** Most efficient	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **C** Producer demand for labour to make goods	**(1)**

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for identifying the fixed costs 40 250 + 10 125 **(1)** Award 1 mark for calculating total fixed costs = 50 375 Rs **(1)** Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in the context Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority • Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall • This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims • In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase • By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business **AO4** • However, some customers may visit the café because they like the sisters' aim of helping young people in the local area • Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business • More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits • It may be more important to focus on caring for customers by spending longer training the inexperienced staff • This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 6 of 24 · Question 2 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 7 of 24 · Question 4 part b · 6 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 160 - 130 **(1)** Award 1 mark for calculating correct opportunity cost = 30 units of consumer goods **(1)** Award 2 marks if opportunity cost is correctly calculated as 30 units of consumer goods, even if no calculations are shown Award 1 mark if opportunity cost is calculated as 30, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Diseconomies of scale occur when a firm becomes too big and average costs rise • Types of diseconomies of scale are communication problems, bureaucracy, lack of control and the distance between managers and workers at the bottom of the organisation • As Ben's employer has grown over the last two years, it may have become more bureaucratic • As it takes a long time for decisions to be made and tasks to be completed, unit costs are likely to increase due to inefficiency of the London-based firm • Due to the increase in the number of employees, communication between employees like Ben and management may be more difficult • Ben feels his ideas are not listened to and is thinking about leaving the firm because he is frustrated. This would impose a cost on the firm which could lead to an increase in average costs, meaning it is experiencing diseconomies of scale

Type MS · Economies and diseconomies of scale

Answer 7 of 24 · Question 4 part b · 6 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 7 of 24 · Question 4 part b · 6 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Income elasticity of demand (YED) measures the responsiveness of quantity demanded to a change in income • Subscription to internet services can be classed as a luxury, meaning that income elasticity of demand is positive (YED >1) and an increase in income would lead to a greater proportionate increase in the quantity demanded • This means that Amazon Prime Video would benefit from income increases in Japan as its 11.5% share would be of a larger market • By calculating YED, Amazon would be able to see the likely effect on demand following an increase in income and therefore whether its success would increase or decrease following the increase in income • Knowledge of YED would allow Amazon to adjust its marketing strategy and prices according to likely outcomes **AO4** • However, YED is only an estimate and actual demand may not be the same as the calculations suggest • Amazon Prime Video has a number of competitors, such as dTV, that cost more to subscribe to than Amazon's 3 900 yen per year charge. This may mean that, even if more people subscribe to internet services following an increase in income, the increase may also encourage customers to move to a more expensive entertainment provider • The type of films and television shows available on Amazon Prime Video and its competitors, such as Hulu, may be more likely to affect its success • It only costs 3 900 yen for an annual subscription to Amazon Prime Video and therefore it may already be affordable to a high number of people, meaning an increase in income would have little effect • It may depend how much and/or how often income increases, as only a small increase may lead to different outcomes for Amazon compared to a larger increase • Price elasticity of demand (PED) may be more important • YED may be important for Amazon's success in Japan but may only be one of many factors that have an effect

Type MS · Economies and diseconomies of scale

Answer 7 of 24 · Question 4 part b · 6 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Economies and diseconomies of scale

Answer 7 of 24 · Question 4 part b · 6 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

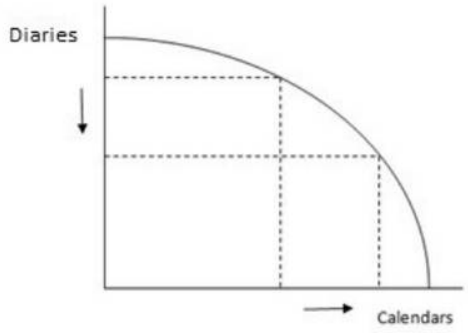
Type MS · Economies and diseconomies of scale

Answer 8 of 24 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **A** Increased indirect taxes	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Luxury	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes Award 1 mark for showing a decrease in diaries on the PPF Award 1 mark for showing an increase in calendars on the PPF  	**(3)**

Type MS · Economies and diseconomies of scale

Answer 8 of 24 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A minimum wage sets the lowest wage which can legally be paid in Turkey • The Turkish Government increased the minimum wage by 538 TRY from 2018 to 2019 • This would further improve the incomes of the lowest paid workers in Turkey • By ensuring a higher income is paid, the government is attempting to provide a better lifestyle for people who previously struggled with basic needs • By increasing the minimum wage, the government is reducing its need to support low-paid workers and is pushing the responsibility onto employers

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 8 of 24 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Internal economies of scale are reduced average costs enjoyed by firms that expand, such as airports • They can include bulk buying, marketing, technical, financial, managerial and risk-bearing • Istanbul's new airport will be able to handle 200 million passengers each year meaning it will need to buy seating for waiting areas in very large quantities. This means it may be able to benefit from bulk buying economies • The new airport might be able to benefit from technical economies of scale as the cost of installing equipment can be divided between each of six runways • Marketing economies could be spread amongst a high number of cafes and shops if they focus advertising on being located in the world's largest airport (which is bigger than Manhattan) • Risk-bearing economies could be enjoyed as if there is a problem with a runway, aircraft could be moved to one of five others **AO4** • However, if it becomes too large, Istanbul's new airport may suffer from diseconomies of scale, such as communication problems, leading to a rise in average costs • As the airport has not yet fully opened it may mean it has been built in stages and so furniture may not have been bought in such large quantities as to allow economies of scale to occur • Being so large could mean less care is taken during the installation of technical equipment. This could mean it needs to be repeated leading to additional costs • There is no guarantee that 200 million passengers will pass through the airport every year and so marketing economies may not result in the same benefits, especially if safety is a concern if there is a problem with a runway

Type MS · Economies and diseconomies of scale

Answer 8 of 24 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 8 of 24 · Question 3 part e · 9 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 9 of 24 · Question 1 part c · 2 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 9 of 24 · Question 1 part c · 2 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

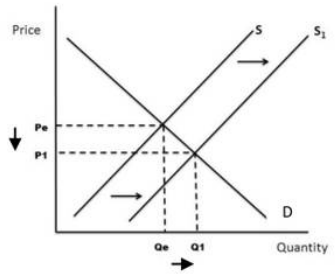
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 9 of 24 · Question 1 part c · 2 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 9 of 24 · Question 1 part c · 2 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 9 of 24 · Question 1 part c · 2 marks

2021 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 10 of 24 · Question 1 part i · 6 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** They may complete charitable work A is not correct because this would maximise their profit B is not correct because this may help to maximise their profit C is not correct because this alone does not determine profitability	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **B** A normal good A is not correct because it has nothing to do with YED C is not correct because the YED will be greater than 1 D is not correct because the YED will be negative	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to the amount of output and 1 mark for reference to the input The amount of output produced **(1)** in relation to the resources used **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Economies and diseconomies of scale

Answer 10 of 24 · Question 1 part i · 6 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

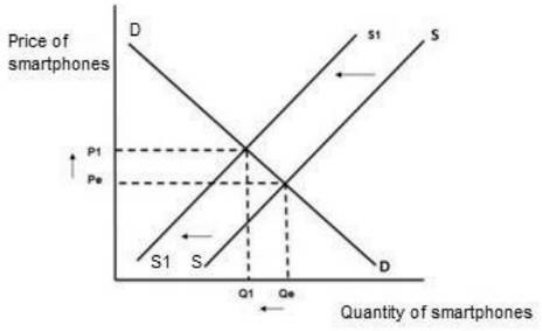
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that supplies goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 50 000 + (250 x 750) **(1)** Award 1 mark for correct total costs = $237 500 **(1)** Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown Award 1 mark if the answer given is 237 500, with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 10 of 24 · Question 1 part i · 6 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 10 of 24 · Question 1 part i · 6 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale result in falling average costs due to expansion • Technical economies of scale occur when larger firms can make better use of machinery than smaller ones • As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw • This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees • This is because the price of the powerful saw can be spread between more gardening jobs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 10 of 24 · Question 1 part i · 6 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 11 of 24 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (4,200 + 6,000 + 3,250) - 9,600 **(1)** Award 1 mark for correct excess demand = 3,850 tickets **(1)** Award 2 marks if excess demand is correctly calculated as 3,850 tickets even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the public sector, the government provides goods and services in the economy • It places dependence on the state for production of goods and services whereas the majority of goods and services in the private sector are provided by private firms • The public sector in Cuba places a high degree of importance on the state controlling production, playing a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Many jobs are guaranteed by the state as shown by the 75% directly employed by the state • It is easier to provide much needed public goods • It is more able to monitor and control externalities

Type MS · Economies and diseconomies of scale

Answer 11 of 24 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 11 of 24 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of consumers using the messaging apps is over 2.6 billion meaning that the costs are reduced because they are spread over a large number of users • By allowing messages to be sent between Instagram, WhatsApp and Facebook Messenger, less software would be needed • This means that the combined apps would be making better use of essential resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers could oversee the whole messaging service, rather than having separate people in charge of each app • (Long-run) average costs could also be reduced as all three apps could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • As the group of apps is so large, financial economies are likely because it would be able to get access to money more cheaply than a smaller firm **AO4** • However, some employees are unhappy because Mark Zuckerberg has changed his plans since acquiring Instagram and WhatsApp, meaning they may not work as efficiently and diseconomies of scale may occur • The founders of Instagram and WhatsApp have already left and other employees may do the same if they do not understand the changes. This is likely to increase (long-run) average costs if Facebook needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the messaging services rely on technology being used effectively, this may lead to diseconomies of scale • As the combined number of users is already more than 2.6 billion, the apps may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If problems occur whilst combining the services, consumers may become frustrated and move to a competitor • It may depend on the outcome of combining the services whether economies or diseconomies of scale occur

Type MS · Economies and diseconomies of scale

Answer 11 of 24 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Economies and diseconomies of scale

Answer 11 of 24 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 12 of 24 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 13 of 24 · Question 1 part d · 1 mark

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 13 of 24 · Question 1 part d · 1 mark

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

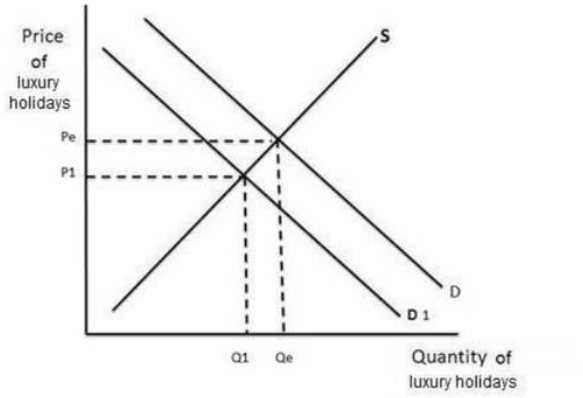
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 13 of 24 · Question 1 part d · 1 mark

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 13 of 24 · Question 1 part d · 1 mark

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 13 of 24 · Question 1 part d · 1 mark

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 14 of 24 · Question 2 part g · 9 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 14 of 24 · Question 2 part g · 9 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 14 of 24 · Question 2 part g · 9 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Economies and diseconomies of scale

Answer 14 of 24 · Question 2 part g · 9 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 14 of 24 · Question 2 part g · 9 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

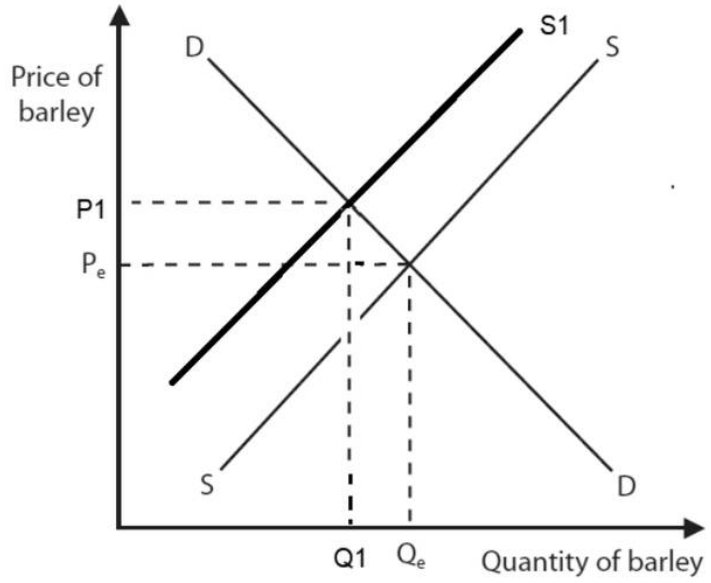
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 15 of 24 · Question 1 part c · 2 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

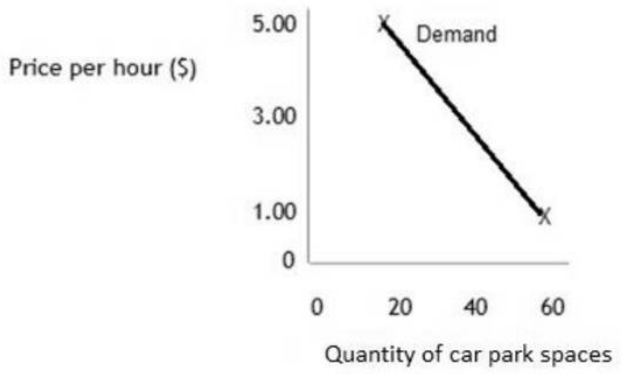
3(a)	**AO1 1 mark** The only correct answer is: **D** government intervention A is not correct because a minimum wage is not a resource used to produce goods and services B is not correct because these are things expected to be true although there is no definite proof C is not correct because a minimum wage does not have reduced average costs due to expansion	**(1)**

Question number	Which **one** of the following is likely to lead to an increase in the productivity of capital? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in technological advances A is not correct because this would lead to a decrease in productivity B is not correct because this may hinder use of capital D is not correct because this is not related to productivity	**(1)**

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a downward sloping demand curve, labelled Award 1 mark for plotting $5.00 at a quantity of 20 on the demand curve Award 1 mark for plotting $1.00 at a quantity of 60 on the demand curve  	(3)

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • A decrease in the ability to produce both capital and consumer goods is shown in Figure 4 due to the inward shift of the PPF • Negative economic growth would allow this to happen as it is possible there will have been a depletion of resources over time/a scarcity of resources (where an economy runs out of oil or coal) • It could also occur if skilled workers are attracted to opportunities in other countries • With the decrease in resources and/or emigration of skilled labour, it would be possible for production of both capital and consumer goods to decrease without an increase in the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of subscribers will be 59 million, meaning that the unit costs are reduced because costs are spread over a larger number of customers • By bringing together technology from both WarnerMedia and Discovery, broadcasting would be more efficient • This means that Warner Bros. Discovery would be making better use of resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers of the numerous channels, such as CNN news channel, could oversee the whole network, rather than having separate people in charge of each one • (Long-run) average costs could also be reduced as Warner Bros. Discovery could be advertised as one, therefore spreading the marketing costs and allowing marketing economies to take place • As the company is so large, with a value of $150bn, financial economies are likely because it would be able to get access to money at lower interest rates than a smaller firm **AO4** • However, some employees may be unhappy as a result of the merger, meaning they may not work as efficiently and diseconomies of scale may occur • Some employees may even leave if they are not able to adapt to any changes brought about due to the merger. This is likely to increase (long-run) average costs if Warner Bros. Discovery needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the broadcaster relies on technology being used effectively, this may lead to diseconomies of scale • The media company may have already reached the most efficient output and the lowest point on the (long-run) average cost curve • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 16 of 24 · Question 3 part e · 9 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working. **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 17 of 24 · Question 1 part c · 2 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 17 of 24 · Question 1 part c · 2 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

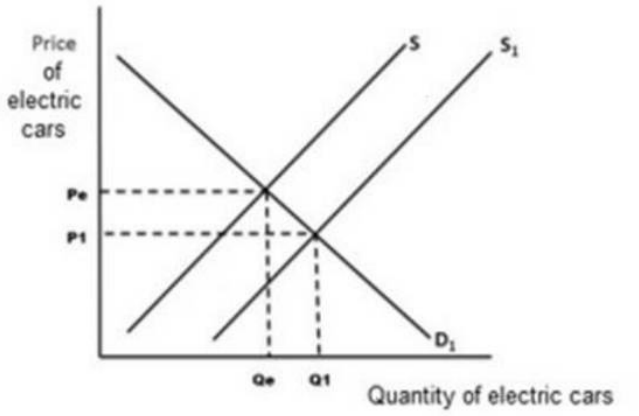
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 17 of 24 · Question 1 part c · 2 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 17 of 24 · Question 1 part c · 2 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 17 of 24 · Question 1 part c · 2 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

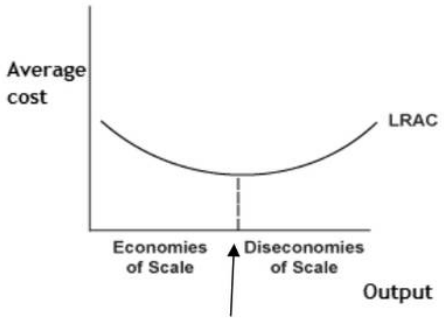
3(a)	**AO1 1 mark** The only correct answer is: **B** To sell a niche product A is not correct because bureaucracy should be reduced C is not correct because risk cannot easily be spread D is not correct because there is less chance of taking over competitors	**(1)**

Question number	The introduction of a minimum wage above the equilibrium wage in a labour market, is most likely to: **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **D** decrease quantity of labour demanded and increase the wage rate A is not correct because employers are less likely to demand labour and the wage rate will be higher than the equilibrium B is not correct because employers are less likely to demand labour C is not correct because the wage rate will be higher than the equilibrium	**(1)**

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for economies of scale labelled Award 1 mark for diseconomies of scale labelled Award 1 mark for point at which firm is most efficient labelled  Most efficient point	(3)

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Education, such as the system provided in Japan would provide an external benefit to people who do not receive the education themselves • This is because students may do socially useful or highly skilled jobs in the future • Therefore, productivity will be higher and so will the standard of living for society, in a country such as Japan • As a result, future generations may benefit from the consumption of education by others, even if they did not receive (a high standard of) education themselves

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising sales/revenue • Simona prioritises caring for her customers by charging low prices and being flexible with appointment times • This flexibility has led to problems with provision of hairdressing services due to delays and issues getting an appointment • Therefore, demand has reduced and revenue has fallen • This means that Simona has been unable to meet the loan repayments to her bank and may risk her hairdressing business failing • As a result, it may be a good idea to make these changes in order to increase revenue for the hairdressing business • This may help with financial difficulties as well as reduce the late/cancelled appointments **AO4** • However, some customers may visit the hairdressers due to the low prices • The customers may also welcome the flexibility of the services offered, encouraging them to return and giving Simona's business a good reputation • This may mean a price increase and/or fee for late arrivals/cancellations could reduce custom • Therefore, making these changes may lead to further financial problems rather than resolving them • It may be more important to focus on caring for customers by managing appointment times more carefully • As a result, Simona may be able to continue to prioritise caring for customers but at the same time solve some of her financial issues

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 18 of 24 · Question 3 part c · 3 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working. **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $90 + $20 + (65 x $0.25) OR $90 + $20 + $16.25 **(1)** Award 1 mark for calculating correct total costs = $126.25 **(1)** Award 2 marks if total costs are correctly calculated as $126.25, even if no calculations are shown Award 1 mark if total costs are calculated as 126.25, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Internal economies of scale, such as purchasing, marketing, technical, financial, managerial or risk bearing, occur when average costs fall as a firm expands • MAS Supermarkets has a large number of shops across Cyprus, meaning the marketing costs can be shared by multiple shops • MAS Supermarkets may benefit from purchasing economies of scale, by buying inventory in large quantities to obtain discounts • By reducing its average costs, MAS Supermarkets may be able to pass on cost-savings to its customers, allowing it to achieve the aim of offering low prices • MAS Supermarkets may be able to open more stores or make improvements to existing ones due to success with offering quality, service and low prices • This may mean it is able to benefit further from other economies of scale

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Nigerian Government wants to sell Lagos airport (and three other main airports in Nigeria) to private investors • This means that the airport would no longer be controlled by the government and its owners would be more likely to pursue different objectives, such as making a profit (and making back the investment from buying the airport) • As a result, the prices may rise for consumers • The previous focus on safety and improving airport facilities may reduce, in order to cut costs for the new owners, especially as the Nigerian Government had used subsidies to help pay for these • Therefore, consumers may see an increase in problems with use of the airport and may face more risk of accidents at the airport • This issue may be more likely due to the resistance to the privatisation previously faced from trade unions, indicating the workers at the airport may be unhappy • Therefore, service may be affected leaving consumers unhappy with conditions at the airport **AO4** • However, the focus of the new owners may not change as improving safety and airport facilities to meet customer needs may be seen as ways to attract more demand and therefore increase revenue • In order to make a profit, greater efficiency is likely to be a focus for owners of Lagos Airport, meaning the delivery of services may be better, not worse • Lagos Airport is the busiest in Nigeria, with potential for increased growth in both passenger and industrial use, meaning the new owners may be able to utilise higher revenues to maintain and increase customer satisfaction • This may complement, rather than replace the objective of making a profit • This is more likely to be achievable if the new owners have more experience and skills in managing an airport than the Nigerian Government • It may depend on the level of investment from the private owners as well as their objectives

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Economies and diseconomies of scale

Answer 19 of 24 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (13,600 + 14,200 + 11,700) - 33,000 **(1)** **OR** 39,500 - 33,000 **(1)** Award 1 mark for correct excess demand = 6,500 **(1)** Award 2 marks if excess demand is correctly calculated as 6,500 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inefficiency occurs when market failure is/externalities are present • One example of market failure is a lack of information for the consumer • The market for tourism shows visitors to Saint Vincent do not have all the information about prices when booking online before visiting the island • As a result, tourists can pay up to $14 more for a guide than if they waited to obtain all the information once arriving on the island • Therefore, an inefficient allocation of resources occurs in the market

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The number of users of the newly named X increased to a new high of 530 million people within the first year • This means that the (long-run) average costs are likely to be reduced because they are spread over a larger number of users • By creating a platform that enables users to perform multiple tasks, such as messaging, making payments and having food delivered, fewer resources would be needed, leading to lower (long-term) average costs (technical economies) • The cost of developing the advanced technology may be lower for X, as a substantial amount of research/components are likely to be required, possibly leading to purchasing economies • Due to the increase in size, managerial economies may be present as specialist managers could oversee separate functions of X, bringing in specialist expertise and lowering (long-run) average costs • (Long-run) average costs could also be reduced as all tasks could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • The takeover cost of $44bn suggests the platform is extremely large, therefore, financial economies are likely because it should be able to get access to money more cheaply than a smaller firm, including to purchase/develop the advanced technology **AO4** • If a firm grows too large, average costs are likely to rise due to diseconomies of scale • The loss of around 65% advertising revenue may reduce X's ability to create the platform envisaged by Elon Musk • Thousands of workers lost their jobs as a result of the purchase by Elon Musk, meaning a decrease in efficiency of remaining workers may be likely if they are worried about losing their jobs too • This means diseconomies of scale may occur as the average costs may increase due to less productive workers • The renaming of the platform from Twitter to X, alongside other major changes may cause further issues for X, such as workers being demotivated • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the platform relies on technology being used effectively, this may lead to diseconomies of scale

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

	• As the combined number of users is already more than 530 million, the platform may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If users do not agree/like the changes they may move to a competitor • Workers may actually be more productive due to the high number of job losses, as they want to prove worthy of keeping employment. This could help to lower average costs • It may take time to understand the implications of the changes for X and whether economies or diseconomies of scale occur will therefore depend on the outcome

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Economies and diseconomies of scale

Answer 20 of 24 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Economies and diseconomies of scale

Answer 21 of 24 · Question 1 part c · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Production which is obtainable A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show how production can be increased C is not correct because a PPC does not show revenue	**(1)**

Question number	Which **one** of the following describes why the firm might do this? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** Producers may complete charitable work A is not correct because producers would not make a profit C is not correct because it is not linked to consumer actions D is not correct because consumer behaviour is not described	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Average costs of production fall **(1)** as the firm increases in size **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 21 of 24 · Question 1 part c · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** example of an item that can be classified as capital. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Machines • Computers • Factories • Vehicles Accept any other appropriate response	**(1)**

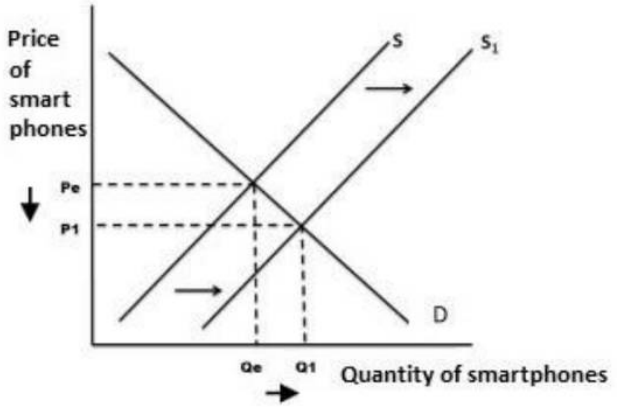
Question number	Define the term price-maker. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A firm is able to set the price charged in the whole market Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.8%/-4.7% **(1)** Award 1 mark for correct PED = -0.38 **(1)** Award 2 marks if PED is correctly calculated as -0.38 even if no calculations are shown Award 1 mark if PED is calculated as -0.38% with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 21 of 24 · Question 1 part c · 2 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible effect of this change in the pension age on the supply of labour. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect would be an increase in the supply of labour **(1)** because fewer people would be able to afford to retire until they reached the retirement age **(1)** meaning more people up to the age of 64 would be available for work **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 21 of 24 · Question 1 part c · 2 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of avocados is inelastic • This means that the quantity of avocados supplied is not very responsive to an increase in price • The PES of avocados is inelastic because farmers cannot easily increase the production level even with an increase in price • Avocados take time to grow and are primary/agricultural products. The supply is dependent on factors such as weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store avocados for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of avocados inelastic

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 21 of 24 · Question 1 part c · 2 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which **one** of the following products has a price elastic demand? **Answer**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 22 of 24 · Question 1 part h · 3 marks

2025 NOV · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Secondary A is not correct because this is not a sector of the economy in which production occurs B is not correct because this would involve the extraction of raw materials D is not correct because this involves the use of services	**(1)**

Question number	Wood is an example of which **one** of the following factors of production? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Land A is not correct because this would be man-made B is not correct because this would be the combining of factors C is not correct because this would include workers	**(1)**

Question number	What is meant by the term total costs? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition (Total) fixed costs plus **(1)** (total) variable costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 22 of 24 · Question 1 part h · 3 marks

2025 NOV · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	State the formula for social benefits. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

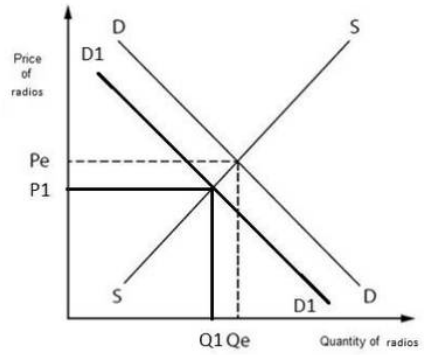
Question number	Define the term substitute good. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Goods bought as a suitable alternative to another good Accept any other appropriate response	**(1)**

Question number	Calculate the **excess demand** in March for the sunglasses. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1,350 - (639 + 715 + 516) **(1)** **OR** 1,350 - 1,870 **(1)** Award 1 mark for calculating correct excess demand = 520 (pairs of sunglasses) **(1)** Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Economies and diseconomies of scale

Answer 22 of 24 · Question 1 part h · 3 marks

2025 NOV · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the demand curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)** Accept any other appropriate response	(3)

Type MS · Economies and diseconomies of scale

Answer 22 of 24 · Question 1 part h · 3 marks

2025 NOV · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The anti-competitive practice of collusion means firms are able to act like a monopoly • This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants • Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent • Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from • As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Economies and diseconomies of scale

Answer 22 of 24 · Question 1 part h · 3 marks

2025 NOV · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which **one** of the following is the correct label to replace 'X'? **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

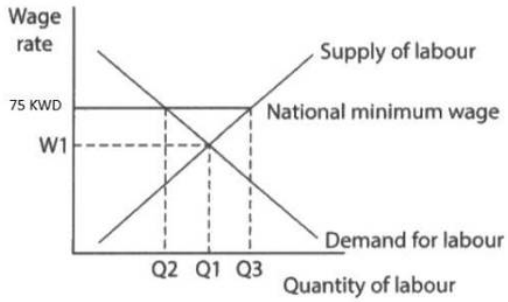
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 23 of 24 · Question 2 part a · 1 mark

2025 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

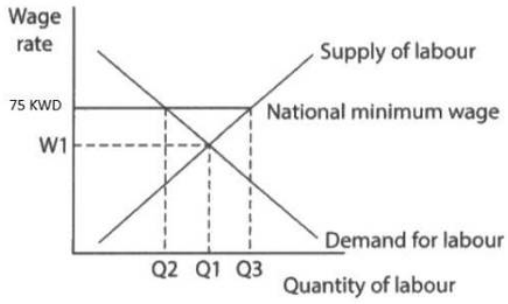
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Economies and diseconomies of scale

Answer 24 of 24 · Question 2 part d · 2 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	Mark